- FPIs are exempt from proxy requirements that apply to domestic issuers and that specify procedures and required documentation for soliciting shareholder votes.[34]
- FPIs are exempt from say-on-pay rules that require domestic issuers to periodically enable shareholders to make certain advisory votes.[35]
- Reporting FPIs furnish current reports on Form 6-K promptly after the information in the report is made public[36] rather than file or furnish current reports on Form 8-K, either within four business days after occurrence of the event or as otherwise specified in Form 8-K, as domestic issuers are required to do.[37] The current Form 6-K requirements for reporting FPIs are limited to the disclosures that a reporting FPI already (1) makes or is required to make public pursuant to the law of the jurisdiction of its domicile or in which it is incorporated or organized, (2) files or is required to file with a stock exchange on which its securities are traded and that were made public by that exchange, or (3) distributes or is required to distribute to its security holders.[38]
- Interim financial statements included in a registration statement are not required to be updated as soon for FPIs as for domestic issuers. The registration statement of an FPI dated more than nine months after the end of the last audited financial year requires

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[34] 17 CFR 240.3a12-3(b); Regulation 14A (17 CFR 240.14a-1 – 17 CFR 240.14b-2). FPIs also are not subject to information statement requirements. *See* Regulation 14C (17 CFR 240.14c-1 – 17 CFR 240.14c-101).

[35] 17 CFR 240.3a12-3(b). *See Shareholder Approval of Executive Compensation and Golden Parachute Compensation*, Release No. 33-9178 (Jan. 25, 2011) [76 FR 6010 (Feb. 2, 2011)], for more information about the say-on-pay and frequency rules that apply to domestic issuers.

[36] 17 CFR 240.13a-16; 17 CFR 240.15d-16.

[37] 17 CFR 240.13a-11; 17 CFR 240.15d-11.

[38] General Instruction A to Form 6-K.

consolidated interim financial statements, which may be unaudited, covering at least the first six months of the subsequent financial year.[39] In contrast, a registration statement of a domestic issuer generally requires interim financial statements dated no more than 134 days[40] before the effective date of a registration statement.[41]

- Certifications mandated by the Sarbanes-Oxley Act of 2002[42] are only required from reporting FPIs in their annual filings, whereas domestic issuers must also include such certifications on a quarterly basis.[43]
- FPIs are not subject to Regulation Fair Disclosure,[44] which addresses the selective disclosure of material nonpublic information.[45]
- Non-GAAP financial measures disclosed by FPIs are exempt from compliance with Regulation G[46] if certain conditions are met.[47]

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[39] Item 8.A.5 of Form 20-F.

[40] For large accelerated filers and accelerated filers, a registration statement requires financial statements dated no more than 129 days before the effective date of a registration statement. 17 CFR 210.3-12; 17 CFR 210.8-08.

[41] The requirements for the age of annual financial statements of FPIs and domestic issuers are more similar than those for interim financial statements. For an FPI, a registration statement may become effective with audited annual financial statements as old as 15 months, except in certain circumstances. Item 8.A.4. of Form 20-F. For a domestic issuer, a registration statement may become effective with audited annual financial statements as old as one year and 45 days to 90 days, depending on certain circumstances. 17 CFR 210.3-12.

[42] 15 U.S.C. 7214 (as amended by Pub. L. No. 116-222).

[43] 17 CFR 240.3a-14; 17 CFR 240.15d-14; *Certification of Disclosure in Companies' Quarterly and Annual Reports*, Release No. 33-8124 (Aug. 29, 2002) [67 FR 57276 (Sept. 9, 2002)].

[44] 17 CFR 243.101(b).

[45] 17 CFR Part 243. Regulation Fair Disclosure aims to prevent selective disclosure of material nonpublic information to market professionals and certain shareholders by requiring domestic issuers to disclose such information to the public simultaneously or promptly.

[46] 17 CFR Part 244.

[47] 17 CFR 244.100(c). Regulation G does not apply to a non-GAAP financial measure disclosed by FPIs whose securities are listed or quoted on a securities exchange or inter-dealer quotation system outside the United States provided that the non-GAAP financial measure is not derived from or based on a measure calculated and presented in accordance with U.S. GAAP, and the disclosure is made by or on behalf of the FPI outside the

- Non-GAAP financial measures disclosed by FPIs that would otherwise be prohibited under 17 CFR 229.10(e)(1)(ii) are permitted in a filing if certain conditions are met.[48]

- FPIs are exempt from compliance with Regulation Blackout Trading Restriction if certain conditions are met.[49]

- The disclosure requirements for annual reports filed by reporting FPIs differ from the requirements for annual reports filed by domestic issuers.[50] In regard to 20-F FPIs, some of these differences include:

    - Distinct disclosure requirements pertaining to descriptions of the issuer's business, material developments, legal proceedings, liquidity and capital resources, and results of operations;[51]

United States, or is included in a written communication that is released by or on behalf of the registrant outside the United States.

[48] Note to paragraph (e) of 17 CFR 229.10. To be permitted in a filing of an FPI, such non-GAAP financial measures must relate to the generally accepted accounting principles ("GAAP") used in the registrant's primary financial statements included in its filing with the Commission, be required or expressly permitted by the standard-setter that is responsible for establishing the GAAP used in the registrant's primary financial statements, and be included in the annual report prepared by the registrant for use in the jurisdiction in which it is domiciled, incorporated, or organized or for distribution to its security holders.

[49] 17 CFR Part 245. Regulation Blackout Trading Restriction is a set of rules adopted pursuant to the Sarbanes-Oxley Act. It relates to restrictions on insider trades during pension fund blackout periods and applies to the directors and officers of FPIs where 50% or more of the participants or beneficiaries located in the United States in individual account plans maintained by the FPI are subject to a temporary trading suspension in the FPI's equity securities, and the affected participants and beneficiaries represent an appreciable portion of the FPI's worldwide employees.

[50] The requirements for FPI annual reports on Form 20-F were revised in 1999 to conform to the international disclosure standards endorsed by the International Organization of Securities Commissions ("IOSCO") in Sept. 1998. *See International Disclosure Standards*, Release No. 33-7637 (Sept. 28, 1999) [64 FR 61962 (Nov. 15, 1999)].

[51] These distinctions may not result in actual differences in issuer disclosure. For example, 17 CFR 229.101 requires domestic issuers to disclose "information material to an understanding of the general development of the business" while Item 4.A.4 of Form 20-F requires disclosure regarding "important events in the development of the company's business." As another example, when disclosing legal proceedings, domestic issuers are required to provide specific details as set forth in 17 CFR 229.103 including the name of the court or agency in which the proceedings are pending, the date instituted, the principal parties, a description of the factual basis alleged to underlie the proceedings, and the relief sought, whereas 20-F FPIs are subject to a more general requirement to "provide information" pertaining to legal proceedings under Item 8.A.7 of Form 20-F.

- No specific requirement that 20-F FPIs disclose material changes to board nomination procedures or recent sales of unregistered securities;
- Absent a separate disclosure requirement in the FPI's home country, 20-F FPIs are not required to disclose the age or date of birth of directors, or make certain executive compensation disclosures including individualized executive compensation details; and
- Only the 20-F FPI registrant is required to sign the annual report, whereas domestic annual reports must be signed by the registrant, principal executive officer, principal financial officer, principal accounting officer, and a majority of the board.

- FPIs may file Securities Act registration statements on Forms F-1, F-3, and F-4,[52] which differ in structure and disclosure requirements from the corresponding Forms S-1, S-3, and S-4[53] used by domestic issuers to register securities offerings.
- FPIs may register securities on Form 20-F,[54] which differs in structure and disclosure requirements from the corresponding Form 10[55] used by domestic issuers, pursuant to section 12(b) or (g) of the Exchange Act.[56]

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[52] 17 CFR 239.31; 17 CFR 239.33; 17 CFR 239.34.

[53] 17 CFR 239.11; 17 CFR 239.13; 17 CFR 239.25.

[54] 17 CFR 249.220f.

[55] 17 CFR 249.210.

[56] *See* General Instruction A.(a) to Form 20-F. MJDS issuers may also register securities on Form 40-F pursuant to section 12 of the Exchange Act. *See* General Instruction A.(2) to Form 40-F; MJDS Adopting Release *supra* note 8.

- An FPI is exempt from section 12(g) registration[57] if either, pursuant to Rule 12g3-2(a),[58] it has fewer than 300 recordholders that are resident in the United States as of its most recent fiscal year-end, or, pursuant to Rule 12g3-2(b),[59] the issuer satisfies foreign listing and electronic publishing conditions and does not register a class of securities under section 12 or incur a section 15(d) reporting obligation.
- FPIs may rely upon an exclusion from Securities Act registration for certain offerings and sales of securities that occur outside the United States, including a related safe harbor under 17 CFR 230.135e pertaining to press conferences and press releases issued in connection with such offerings.[60]
- An FPI can terminate its section 12(g) registration if its U.S. trading volume falls below a certain level, or if the FPI has fewer than 300 recordholders resident in the United States,[61] whereas a domestic issuer typically may only terminate its section 12(g) registration if it has fewer than 300 recordholders of such class of securities.[62]

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[57] 15 U.S.C. 78l(g). Section 12(g) sets forth the registration requirements for securities under the Exchange Act. An issuer that is not a bank or bank holding company must register a class of equity securities (other than exempted securities) within 120 days after its fiscal year-end if, on the last day of its fiscal year, the issuer has total assets of more than $10 million and the class of equity securities is "held of record" by either 2,000 persons, or 500 persons who are not accredited investors. Different registration thresholds apply for banks and bank holding companies.

[58] 17 CFR 240.12g3-2(a).

[59] 17 CFR 240.12g3-2(b).

[60] 17 CFR 230.903; 17 CFR 230.904; 17 CFR 230.135e.

[61] 17 CFR 240.12h-6 ("Rule 12h-6").

[62] 17 CFR 240.12g-4. A domestic issuer with total assets that have not exceeded $10 million on the last day of each of the issuer's most recent three fiscal years may terminate registration of a class of securities with fewer than 500 recordholders.

- An FPI can terminate its section 15(d) reporting obligations, whereas domestic issuers may only suspend their duty to file reports under section 15(d).[63]

Additionally, only a limited subset of FPIs is required to appoint an agent and formally consent to service of process.[64]

III. Recent Developments in the FPI Population

The staff recently conducted a broad review of reporting FPIs. The review focused primarily on 20-F FPIs from fiscal year 2003 through fiscal year 2023.[65] The staff examined issuers' jurisdictions of incorporation and headquarters, global market capitalizations, trading volumes, and other characteristics for the subsets of such issuers for which such data was available. In section III.A, we present the staff's findings on how the total number of reporting FPIs changed from 2003 to 2023. In section III.B, we present the staff's findings on changes in the distribution of 20-F FPIs' jurisdictions of incorporation and headquarters since 2003, which demonstrate that 20-F FPIs now represent a different composition of home country jurisdictions that have varying levels of disclosure requirements. Finally, in section III.C, we present the staff's review of 20-F FPIs' equity trading markets. In particular, the staff observed that the

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[63] Rule 12h-6, *supra* note 61; 17 CFR 240.12h-3. Following suspension of a duty to file reports under section 15(d), if the number of recordholders for a class of securities of a domestic issuer increases above the 300- or 500-person threshold (as applicable), such issuer must resume periodic reporting. An FPI that has terminated its duty to file reports pursuant to Rule 12h-6 will not be required to resume periodic reporting absent a new registration.

[64] *See* 17 CFR 249.250; 17 CFR 239.42 ("Form F-X"). Form F-X is required to be filed by certain foreign issuers to appoint an agent for service of process, including MJDS issuers, foreign issuers filing certain tender offer documents, and foreign issuers filing Form CB in connection with a tender offer, rights offering, or business combination. *See supra* note 8, *supra* note 29 and section IV.B.5 for more information regarding the MJDS. Formal appointment of an agent and consent to service of process is unnecessary for most actions involving domestic issuers, whereas foreign legal barriers including blocking statutes, data privacy laws and other laws in foreign jurisdictions can present unique challenges for regulatory authorities in enforcement cases against FPIs.

[65] The earliest filings included in the staff's review are from fiscal year 2003 because this is the first year for which Forms 20-F are consistently available from the Commission's Electronic Data Gathering, Analysis, and Retrieval ("EDGAR") system for all 20-F FPIs. Prior to 2002, FPIs filed paper copies of their Forms 20-F, which are not as readily analyzed using automated techniques.

majority of 20-F FPIs today have their equity securities almost exclusively traded in U.S. capital markets.[66] Across these analyses, the staff also observed that the documented trends are driven by 20-F FPIs with relatively small market capitalizations. Accordingly, the 20-F FPIs driving the trends identified by the staff represent a relatively smaller percentage of the overall population of 20-F FPIs in terms of aggregate global market capitalization than in terms of absolute numbers.

A. FPI Population Overview[67]

The staff found that 967 FPIs filed annual reports on Form 20-F covering fiscal year 2023,[68] whereas 146 FPIs filed on Form 40-F under MJDS for fiscal year 2023.[69] To provide insight into how the size of the reporting FPI population has shifted over time, Figure 1 below shows the number of reporting FPIs each year by their type of annual filing (Form 20-F or Form 40-F) from fiscal year 2003 through fiscal year 2023.[70] As shown in Figure 1, the number of 20-F FPIs has followed a U-shaped trend over this period. After initially rising slightly from 937 to 950 issuers in fiscal year 2004, the number of issuers exhibited a clear downward trend until reaching its lowest point of 656 issuers in fiscal year 2016, after which the number of 20-F FPIs steadily increased to 967 issuers by fiscal year 2023. By contrast, the count of issuers reporting

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[66] By "almost exclusively traded in U.S. capital markets," we are referring to 20-F FPIs that have had less than 1% of their equity security trading volume outside U.S. capital markets (or equivalently 99% or more of such volume in U.S. capital markets) in a 12-month period centered around their fiscal year-end dates, which for fiscal year 2023 included almost 55% of all 20-F FPIs. *See* section III.C below for details on this analysis.

[67] This section is based on data and analysis contained in section 3 of the FPI Trends White Paper.

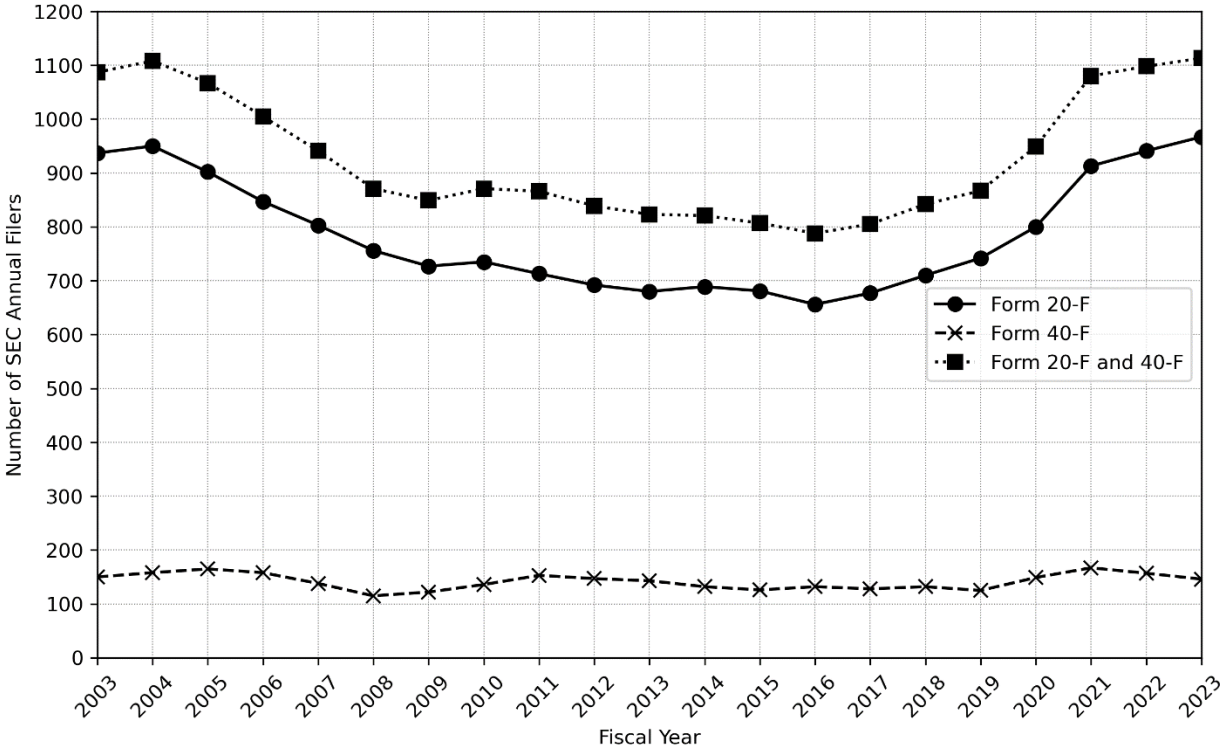
[68] For this analysis, the staff followed the convention of assigning a given fiscal year to any issuer's annual report with a fiscal year-end between June 1st of that calendar year through May 30th of the following calendar year.

[69] These numbers are estimated as the number of unique registrants, identified by Central Index Key ("CIK"), that filed either a Form 20-F or Form 40-F with financial statements pertaining to fiscal year 2023. We note that the analysis in this section does not include registered FPIs electing to file on Form 10-K.

[70] For each fiscal year, the staff counted the number of unique FPIs, identified by CIK, filing an annual report either on Form 20-F or Form 40-F pertaining to that fiscal year.

on Form 40-F (*i.e.*, MJDS issuers)[71] fluctuates throughout the period without any discernible trend.

Figure 1. Reporting FPI Counts by Type of Annual Filing, Fiscal Years ("FYs") 2003-2023



In the analysis that follows, the staff focused on 20-F FPIs, as this subpopulation of FPIs is the subject of the considerations regarding the current FPI definition discussed in this release. In particular, the staff excluded MJDS issuers because the Commission had previously compared Canadian securities regulations to U.S. regulations in adopting the MJDS and determined, at that time, that permitting certain Canadian issuers to register securities under the MJDS using their home country jurisdiction disclosure documents was in the "public interest and fully adequate for the protection of U.S. investors."[72] Since then, the Commission has continued to monitor the

[71] *See supra* note 8 and *supra* note 29 for more information regarding the MJDS.

[72] MJDS Adopting Release, *supra* note 8. The Commission is not soliciting comment on changes to MJDS in this release.

operation of the MJDS, including any changes to law and policy that may necessitate updates to the MJDS requirements. The staff also excluded (1) FPIs electing to file on domestic forms (*e.g.*, filing their annual reports on Form 10-K) because they are already restricted from taking advantage of a number of the FPI accommodations[73] and (2) FPIs that are not subject to reporting obligations under section 13(a) or section 15(d) of the Exchange Act.[74] As a measure of the economic significance of the 20-F FPI population, the aggregate market capitalization for these issuers as of fiscal year 2023 was approximately $9 trillion, the mean market capitalization per issuer was approximately $9.5 billion, and the median market capitalization per issuer was approximately $256 million.[75]

The decline and subsequent increase of 20-F FPIs documented in Figure 1 above suggests that there has been significant turnover within this population of FPIs in recent decades. To provide additional insights into the nature of this turnover, the following two subsections present the staff's findings on the jurisdictions of incorporation and headquarters and equity trading markets of 20-F FPIs.

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[73] There is a comparatively small number of FPIs electing to file on Form 10-K any given year. For example, using a textual search of all Forms 10-K filed in calendar year 2023, the staff identified only nine such FPIs. *See supra* section II.B for a summary of the current accommodations for FPIs. FPIs filing on domestic forms would not be eligible to take advantage of the accommodations specific to reporting FPIs.

[74] For example, some FPIs may trade American Depositary Receipts ("ADRs") on the U.S. over-the-counter ("OTC") markets in reliance on Rule 12g3-2(b). *See supra* note 59. FPIs may be exempt from Exchange Act reporting requirements when trading on the U.S. OTC markets if they maintain a listing of the subject class of securities on one or more exchanges in a foreign jurisdiction that constitutes the primary trading market for those securities, and electronically publish certain information on an ongoing basis. *See also supra* note 58.

[75] For each company, market capitalization is measured as global U.S. dollar market value of all traded common equity securities as of the fiscal year-end date or, if there is no data available for that date, from the next closest trading day with available data. This data was collected from LSEG Workspace, a database of worldwide financial data owned by the London Stock Exchange Group. FPIs that have no available market capitalization (28 FPIs) are excluded from these calculations. The main reason for missing market capitalization data is that the FPI has no publicly traded equity securities at the fiscal year-end date.

B. FPI Jurisdictions of Incorporation and Headquarters[76]

The staff's analysis of the jurisdictional makeup of 20-F FPIs demonstrates a significant shift in recent decades. For example, in fiscal year 2023, the most common jurisdiction of incorporation among 20-F FPIs was the Cayman Islands, and the most common jurisdiction of headquarters for these issuers was mainland China. In contrast, in fiscal year 2003, the most common jurisdictions for both incorporation and headquarters for 20-F FPIs were Canada (non-MJDS issuers) and the United Kingdom. Below, we provide more detail on this analysis.

Tables 1 and 2 below present the top 20 jurisdictions of incorporation and headquarters, respectively, for 20-F FPIs in fiscal year 2023.[77] The tables also provide statistics on the global market capitalization (aggregate, mean, and median) of 20-F FPIs from each jurisdiction. Table 1 shows that the Cayman Islands is the most common jurisdiction of incorporation in fiscal year 2023, with more than 30 percent of 20-F FPIs being incorporated in the Cayman Islands. The 20-F FPIs incorporated in the Cayman Islands tend to be smaller than the typical 20-F FPI overall, with a median (mean) market capitalization of approximately $104 million (approximately $3.3 billion).[78] As a result, despite the Cayman Islands representing the jurisdiction of incorporation of over 30 percent of 20-F FPIs, the aggregate global market capitalization for the 20-F FPIs incorporated in the Cayman Islands represents around 11.6 percent of the aggregate global market capitalization of all 20-F FPIs. Table 2 below shows that mainland China was the most common jurisdiction of headquarters for 20-F FPIs in fiscal year 2023, with more than 20 percent of such FPIs being headquartered in China. However, because the average 20-F FPI

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[76] This section is based on data and analysis contained in section 3 of the FPI Trends White Paper.

[77] Information about jurisdictions of incorporation and of company headquarters (*i.e.*, "principal executive offices") is collected from the FPIs' commission filings pertaining to any given fiscal year.

[78] *See supra* section III.A for the market capitalization figures of all 20-F FPIs.